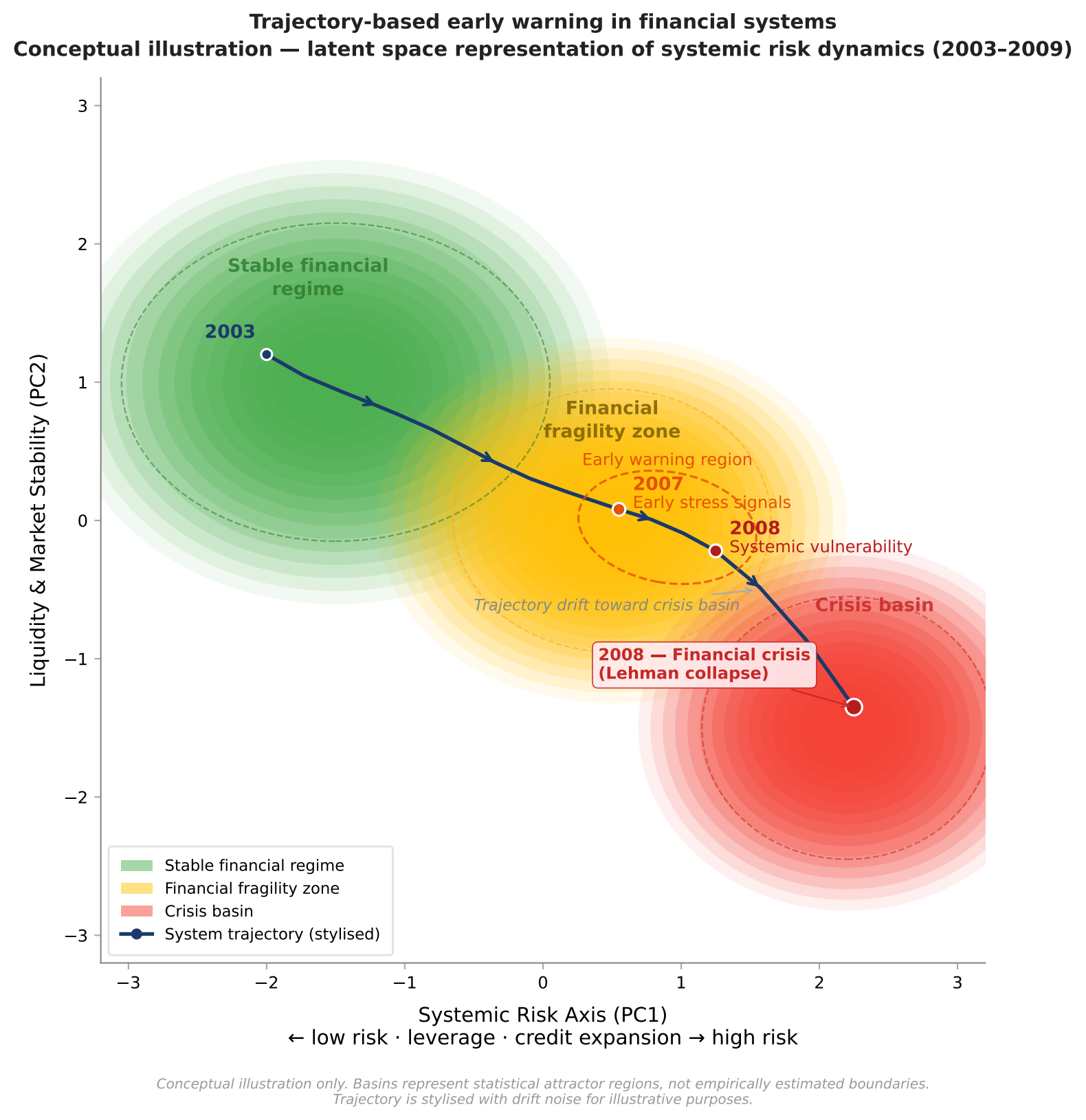

Trajectory-based early warning in financial systems
Conceptual illustration — latent space representation of systemic risk dynamics (2003–2009)
Stable financial regime
2003
Financial fragility zone
Early warning region
2007
Early stress signals
2008
Systemic vulnerability
Trajectory drift toward crisis basin
Crisis basin
2008 — Financial crisis (Lehman collapse)
Stable financial regime
Financial fragility zone
Crisis basin
System trajectory (stylised)
Liquidity & Market Stability (PC2)
Systemic Risk Axis (PC1)
← low risk · leverage · credit expansion → high risk
Conceptual illustration only. Basins represent statistical attractor regions, not empirically estimated boundaries.
Trajectory is stylised with drift noise for illustrative purposes.